

Chapter- 15

Financial Performance of SAIL

Ten years at a Glance

	2024-25	2023-24	2022-23	2021-22	2020-21	2019-20	2018-19	2017-18	2016-17	2015-16
Gross sales	101716	104545	103729	102805	68452	61025	66267	58297	49180	43294
Net sales	101716	104545	103729	102805	68452	61025	66267	56893	43866	38471
EARNINGS BEFORE DEPRECIATION, INTEREST AND TAX (EBIDTA)	11765	12280	9379	22364	13740	11199	10283	5184	672	-2204
Depreciation	5650	5277	4963	4274	4102	3755	3385	3065	2680	2402
Interest & Finance charges	2793	2474	2037	1698	2817	3487	3155	2823	2528	2300
Profit / (Loss) before exceptional items	3322	4529	2379	16392	6821	3957	3743	(703)	(4536)	-6906
Exceptional items: Gain / (Loss)	(313)	(841)	258	-353	58	(787)	(405)	(56)	(315)	(101.04)
Profit / (Loss) before tax (PBT)	3009	3688	2637	16039	6879	3171	3338	(759)	(4851)	-7008
Provision for tax	861	955	734	4024	3029	1149	1159	(277)	(2018)	-2986
Profit / (Loss) after tax (PAT)	2148	2733	1903	12015	3850	2022	2179	(482)	(2833)	-4021
Dividends	661	826	620	3614	1,156.55	0	206.53	-	-	0
Equity Share Capital	4131	4131	4131	4131	4131	4131	4131	4131	4131	4131
Reserves & Surplus	51526	50000	48009	47887	39364	35647	34021	31583	31879	35065
Net Worth (equity share capital and reserves & surplus)	55657	54131	52139	52017	43495	39777	38152	35714	36009	39196
Total Loans	36933	36315	30773	17284	37677	54127	45170	45409	41396	35141
Net Fixed Assets	73289	72408	73524	73657	67600	69019	61359	58612	50285	45926
Capital work-in-progress	7206	6141	4891	4710	8878	8752	16014	18395	23275	24927
Current Assets (including short term loans)	41693	47882	37763	28627	31976	40918	32249	29638	25545	24304
Current Liabilities & Provisions	46159	53425	49305	39318	25908	22066	23632	24068	21486	18992
Working Capital (current assets less current liabilities)	(4466)	(5543)	(11542)	-10691	6068	18852	8617	5570	4060	5312
Capital Employed (net fixed assets + working capital)	68823	66864	61982	62966	73668	87871	69977	64182	54345	51238
Market price per share (in ₹) (as at the end of the year)	115.18	134.25	82.70	98.55	78.80	23.05	53.75	70.20	61.20	43.00
Key Financial Ratios										
EBIDTA to average capital employed (%)	17.34	19.06	15.01	32.74	17.01	14.19	15.33	8.75	1.27	-4.28
PBT to Net Sales (%)	2.96	3.53	2.54	15.60	10.05	5.20	5.04	(1.33)	(11.06)	-18.22
PBT to average capital employed (%)	4.44	5.72	4.22	23.48	8.52	4.02	4.98	(1.28)	(9.19)	-13.62
Return on average net worth (%)	3.91	5.14	3.65	25.16	9.25	5.19	5.90	(1.34)	(7.53)	-9.72
Net worth per share of ₹10	134.74	131.05	126.23	125.93	105.30	96.30	92.37	86.46	87.18	94.89
Earnings per share of ₹10	5.20	6.62	4.61	29.09	9.32	4.89	5.27	(1.17)	(6.86)	-9.74
Price Earning ratio (times)	22.15	20.29	17.95	3.39	8.45	4.71	10.19	(60.19)	(8.92)	-4.42
Dividend per share of ₹10	1.60	2.00	1.50	8.75	2.80	-	0.50	-	-	0.00
Effective dividend rate (%)	1.48	1.49	1.81	8.88	3.55	-	-	-	-	0.00
Debt-Equity (times)	0.66	0.67	0.59	0.33	0.87	1.36	1.18	1.27	1.15	0.90
Current ratio (times)	0.90	0.90	0.77	0.73	0.68	1.85	1.36	1.23	1.19	1.28
Capital employed to turnover ratio (times)	1.48	1.56	1.67	1.63	0.93	0.69	0.95	0.91	0.90	0.84
Working capital turnover ratio (times)	(22.78)	(18.86)	(8.99)	-9.62	11.28	3.24	7.69	10.47	12.11	8.15
Interest coverage ratio (times)	1.95	2.64	2.05	9.56	2.86	1.83	1.79	0.58	(0.65)	-1.91
Dividend payout ratio (%)	30.77	30.23	32.56	30.08	30.04	-	9.48	-	-	-

Unit: Rs. Cr.

Over the decade, revenue has expanded materially (from ~₹43,000 Cr in FY16 to over ₹1,01,000 Cr in FY25), indicating significant scale-up in operations. The most striking phase is FY21–FY22, where EBITDA surged sharply, reflecting peak steel cycle benefits and strong operating leverage. However, despite sales remaining above ₹1 lakh crore in recent years, EBITDA and PAT have moderated, signalling margin compression rather than volume decline- a classic cyclical normalization.

Net worth has strengthened consistently (crossing ₹55,000 Cr in FY25), reflecting retained earnings and balance sheet repair post the stressed FY16–FY18 phase. Leverage remains controlled (Debt-Equity ~0.6–0.7), indicating prudent capital structure management despite large capital employed (~₹68,000 Cr+). That said,

working capital remains negative and current ratio is below 1, suggesting tight liquidity management typical in large integrated steel players but still a point to monitor.

Return ratios clearly show cyclicalities: ROCE and ROE peaked dramatically during the supercycle and have now moderated to single digits. Interest coverage has improved structurally versus the loss years but remains sensitive to earnings swings.

Plant-wise Financial Performance

Plants	2023-24				2024-25			
	EBITDA (Rs. Cr.)	EBITDA Margin (%)	EBITDA / TSS (Rs.)	PBT (Rs. Cr.)	EBITDA (Rs. Cr.)	EBITDA Margin (%)	EBITDA / TSS (Rs.)	PBT (Rs. Cr.)
BSP	4882	16%	10776	2343*	5486	17%	10859	3482*
DSP	892	8%	4342	352	903	8%	4262	238
RSP	2983	12%	7511	653	2358	11%	5716	20
BSL	2445	11%	6451	823	1458	8%	4076	(621)
ISP	1102	9%	4761	109	1553	13%	6715	521
Others	24			(592)	6			(630)
SAIL	12280	12%	7213	3688 (3.5%)	11764	12%	6574	3009(3%)

6. Overall Performance – Slight Moderation

Total EBITDA declined marginally from ₹12,280 Cr (FY24) to ₹11,764 Cr (FY25) (~4% drop). This suggests normalization of spreads rather than a sharp operational deterioration. The consolidated margin appears broadly stable (12%), indicating cost control despite softer realizations.

7. Concentration of Profitability

A large portion of EBITDA continues to be concentrated in the top 2–3 plants.

- BSP improved significantly (₹4,882 Cr → ₹5,486 Cr), strengthening its contribution share.
- Long products Plants EBITDA improved by 13% (ISP) & 8% (DSP)

This indicates that SAIL's profitability backbone remains dependent on sales price of products in market

8. Pressure in Flat Product Plants

Flat Product Plants (RSP & BSL) saw notable EBITDA declines:

- ₹2,983 Cr → ₹2,358 Cr
- ₹2,445 Cr → ₹1,458 Cr

This suggests:

- Higher cost pressures (raw materials, energy, logistics), or

- Lower capacity utilization / product mix challenges

These plants are likely more sensitive to margin compression.

9. Positive Turnaround Signals

ISP's Performance improved meaningfully:

- ₹1,102 Cr → ₹1,553 Cr

This indicate:

- Operational efficiency gains
- Better product mix
- Stabilization post capex/modernization

Such divergence within plants reflects uneven cost competitiveness across locations.

10. Peripheral / Smaller Units

The smaller units (SSP, ASP, VISL) continues to contribute marginally (₹24 Cr → ₹6 Cr)